JURI 4170/6170: Fintech, Payments, and Digital Assets

Negotiable Instruments

The Holder Rule

- **Due:** Friday, September 11, 2026
- **How to Submit:** Email your answer to JURI_4170@kevinerwin.com. Please include your group in the subject line.

Overview

This exercise is not primarily a test of legal analysis. The underlying question is straightforward once you have read the assigned materials, and you should not need to look beyond them to answer it. The point is to practice effectively communicating your legal analysis and conclusion, and to tailor your response into different professional registers.

You will be assigned to one of two groups based on where you sit in the class. Both groups will analyze the same set of facts and should reach the same legal conclusion—but are writing to different readers, and the email should read differently as a result. For example, what might differ is what you choose to explain, your diction, how you structure the email, and how directly you state a recommendation.

Assigned Materials

- **Gregory E. Maggs, *The Holder in Due Course Doctrine as a Default Rule*, 32 Ga. L. Rev. 783 (1998).** Our very own Georgia Law Review! This is just an excerpt (Part I introduction; Part II.A–B; Appendix only).
- **Jonathan Sheldon, Carolyn Carter & Deanne Loonin (National Consumer Law Center), *Protecting and Improving the Best Thing the FTC Has Ever Done: The Holder Rule*.** Read only the opening overview section ("The Holder Rule Is the FTC's Most Effective Tool against Fraud" and "Two Examples of What Happens without Holder Rule Protections"). You do not need to read the "Ten Ways" reform proposals.
- **Federal Trade Commission, *Commission Advisory Opinion on the Holder Rule* (letter to Jonathan Sheldon & Carolyn Carter, May 3, 2012).** The full letter. This is the FTC's own account, in its own words, of why the Rule exists, and it quotes directly from the Rule's original 1975 Statement of Basis and Purpose.

All parties, facts, and figures in this exercise are fictional and created for classroom use.

The Facts: Bellwood Home Furnishings

Bellwood Home Furnishings is a regional furniture retailer with stores across Georgia. When a customer buys furniture on credit, Bellwood has the customer sign a retail installment contract, which Bellwood assigns within days to Highland Consumer Finance, an independent regional finance company that purchases these contracts in bulk.

In the second quarter of 2026, Bellwood switched point-of-sale software providers. Because of a configuration error in the new contract template, the FTC Holder Notice was omitted from every contract generated between March 1 and April 18, 2026 — a total of 46 contracts, all of which were assigned to Highland during that window.

Highland's collections department discovered the problem after a customer, Ms. Renata Coyle, stopped making payments on a $3,200 sectional sofa. Ms. Coyle told Highland the sofa arrived visibly damaged and that Bellwood refused to repair or replace it. When Highland pulled her file to evaluate the account, a Highland employee noticed that the Notice language was missing from her contract. Highland then audited the rest of the March–April batch and found the same defect on all 46 contracts. Five of the 46 affected customers — representing roughly $18,000 in combined amount financed — have since stopped paying Highland, each citing complaints against Bellwood similar to Ms. Coyle's (non-delivery, damage, or quality issues).

Highland has notified Bellwood of its audit findings and has asked Bellwood to explain how it intends to proceed. Bellwood has retained your firm for advice.

The Question

Drawing on the assigned materials, your email / memorandum should address:

1. What the missing Notice means for the 46 affected contracts.
2. Whether the five customers who have stopped paying are still obligated to pay Highland in full despite their complaints against Bellwood.
3. What Bellwood should do differently going forward to avoid a repeat of this problem.

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Your Assignment

You are a junior associate at Erwin & Erwin LLC, a leading Fintech, Payments, and Digital Assets law firm. In both groups, you are writing as outside counsel to Bellwood—the only variable is who receives your email.

Group A: Right Side of the Room

> **Email to the Supervising Partner**
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> Write an email to the partner supervising the Bellwood matter, who will be speaking with Bellwood directly after reading your email. The partner knows the general law in this area and does not need it re-explained from scratch — write for a reader who wants your specific analysis of this matter, efficiently, so she is prepared for that conversation.

Group B: Left Side of the Room

> **Email to the Client**
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> Write an email directly to Bellwood's Chief Compliance Officer, who sits in Bellwood's legal department and works with outside counsel regularly, but is not a lawyer. She needs a clear explanation of the legal issue and a clear recommendation she can act on—without the shorthand you could use writing to another lawyer.

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